

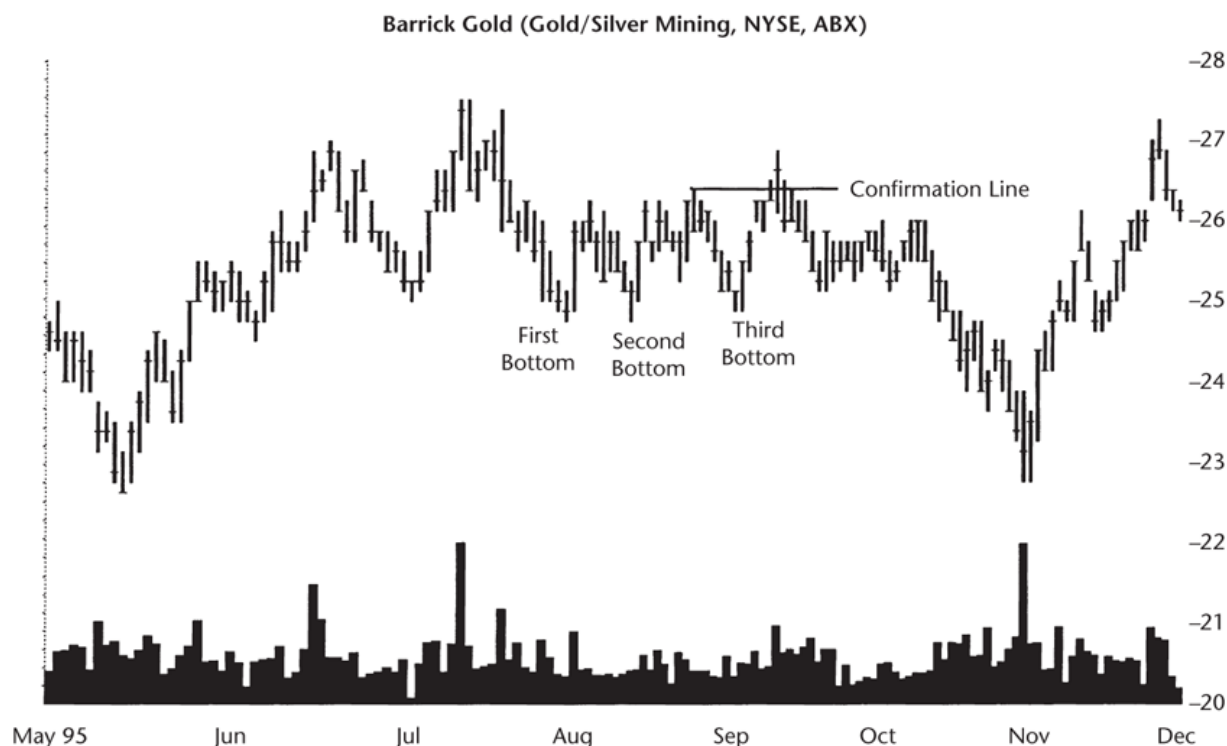


Figure 67.3 A triple bottom failure. This triple bottom fails to make a convincing upward run. It is a 5% failure because price fails to rise more than 5% before tumbling.

What are the signs of an impending failure? In this situation, the curved rise leading to the triple bottom suggests a rounded top. The volume pattern is suspiciously flat, but an irregular or abnormal pattern is common and should not automatically disqualify a triple bottom. Perhaps the most likely failure is not one of performance but of identification. Are the three bottoms well separated, each a significant minor low in its own right? Are the low prices near to one another without the center bottom being meaningfully below the other two?

As you look at the pattern, it should take on a striking appearance and almost shout, “Yes, I am a triple bottom!” There should be something familiar, a special quality that distinguishes a valid triple bottom from any other three-lump configuration. If it does not scream, “Buy me!” then you should probably look elsewhere.

Statistics

Table 67.2 shows general statistics.